

So you doubled up into a deep losing position?

Into a deep losing position, but knowing it's Chipotle. They sell tacos! It's not like it's some new technology company. I'm not going to be that scared of it. The tacos may be really good, but the stock has gone from \$140 to \$270 in three months. Really? I don't care how good the tacos are. I got out here. [He points to a retracement on the chart.] So I recovered about three-quarters of the loss.

You seem to do a lot of selling into uptrends.

Yes, but I am always buying it back on the dips. And you hope to get lucky sometimes and get a big down day. That just happened to me in cotton. I was short the cotton ETF, and on these two days I lost \$200,000. [He points to a chart with another big uptrend with a near vertical upmove on the last two days of the advance.] I was short 7,500 shares, and on this day I added another 22,000 shares. [He points to the high day of the move.] I saw there was huge volume. I said, "This is a squeeze. I don't care what's going on in Egypt. The stock has doubled. I should take my shot here." Call it luck. Call it what you want. The stock was down 12 percent the next day. I ended up making net \$100,000 on the trade. It was La La Land. The ETF could easily have been up another \$10 on the next day. That's where the chutzpah comes in. When no one else wants to do it, sometimes there is great opportunity.

There are days like today when the cash register rings. But it seems like your trading style is one that must place you in discomfort on most days.

Yes, because the market is up more days than it is down, and I would guess that in my career, I have been short about 75 percent of the time. But I wouldn't say it's discomfort. It's pretty much of the routine.

It seems like the only time you are with the trend is when you are betting on a reversal and then the market turns around.

I am good at catching the early part of the trend. I'm trying to learn how to catch the middle part of the trend better. I am never there for the last three innings—the capitulatory phase.